AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS X EXAMINATION

MAY 2014

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are TEN questions. Answer ALL questions. Questions 9 & 10 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 6 Marks)

Mr. Ali is an expert chef of Indian traditional recipes. He operates a restaurant and is considering to extend his network by allocating some franchises in different areas of the Karachi city. He is searching for some briefing or guidelines about the franchising.

a. Suggest him TWO features of initiating such franchise in Karachi city. What role will the Franchisee play in this regard? (3 Marks)

b. Explain TWO merits and ONE demerit Mr. Ali may face while establishing such franchise business. (3 Marks)

Q.2. (Total 6 Marks)

a. Mr. Shoaib Ahmed is a computer programmer he has designed information systems and programs for the specific needs of his clients.

i. Identify his method of production. (1 Mark)

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ii. Explain TWO merits of his production method. (2 Marks)

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b. Mr. Ibrahim is a retailer of paint and hardware shop. He would like to open another store in the city. Mention any THREE factors that will affect his decision. (3 Marks)

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Q.3. (Total 5 Marks)

Mr. Ayan was successfully selected at a senior managerial post in a business organization. He has received an offer letter which states his salary package. It also ensures some fringe benefits as non-financial motivation.

Which FIVE fringe benefits do you think would be offered to Mr. Ayan?

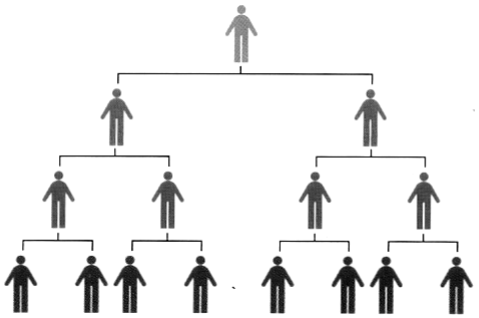
Q.4. (Total 4 Marks)

A trade union works as a “Pressure Group” in a business organization. It safeguards the worker’s interests.

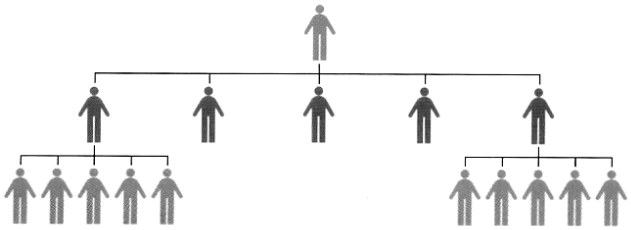
Explain FOUR reasons why an employee may join a trade union.

Q.5. (Total 5 Marks)

Business A – organisation chart



Business B – organisation chart



a. The above organization charts show the chain of command and span of control. Explain the concept of chain of command and span of control with reference to the given organization charts. How are these organization charts different from each other? (3 Marks)

b. State TWO merits of a short chain of command. (2 Marks)

Q.6. (Total 8 Marks)

a.

i. Explain cash flow cycle. (2 Marks)

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ii. Mr. Saleem is a sole proprietor of a paint shop. Indicate possible cash inflow and outflow account heads. (2 Marks)

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b. Fill in the correct column to indicate whether the represent transactions a cash inflow or a cash outflow for Al-Haram Enterprises Ltd. (4 Marks)

	Transactions	**Cash inflow**	**Cash outflow**
1.	Purchase of new computer in cash		
2.	Sale of goods to customers in cash		
3.	Interest paid on bank loan in cash		
4.	Debtors pay their bills in cash		

Q.7. (Total 3 Marks)

State any THREE points through which employers can ensure ‘minimum standards of labour’ at a workplace.

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Q.8. (Total 3 Marks)

State any THREE reasons for increasing global competition.

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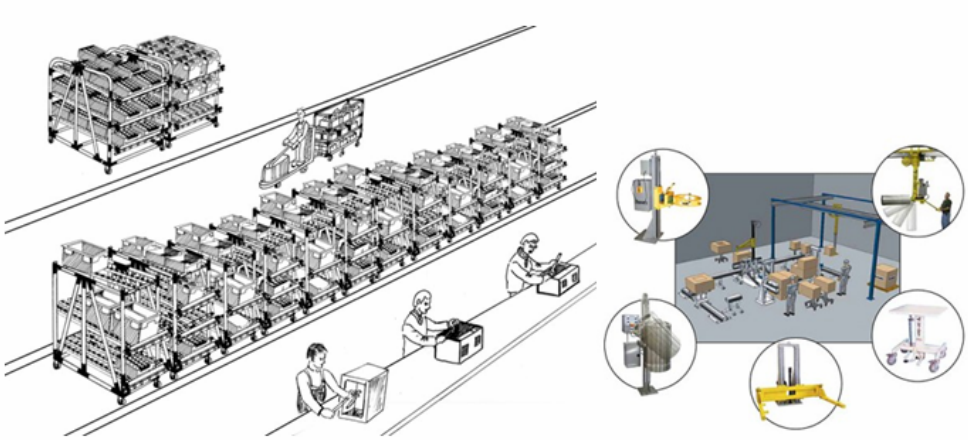
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Q.9. (Total 5 Marks)

EITHER

a.



The given picture shows a production line which is quite simply about getting more from less. Discuss the method of flow production and state its THREE merits for a large scale production unit.

OR

b. 'Grant of authority by one party (the delegator) to another (the delegate) for agreed purpose(s) under the legal concept of various liability.'

Source: http://www.businessdictionary.com/definition/delegation.html#ixzz2rrrFQJMB

With reference to above statement, discuss the concept of delegation of responsibilities and how beneficial for a manager and a subordinate in a working environment.

Q.10. (Total 5 Marks)

EITHER

a. In most of the manufacturing industries dispute among the producers and workers are most likely to arise as workers want an increase in work compensations whereas the owners look out for profit. If the two sides disagree over an issue then negotiations may break down. On this workers can take some measures or actions within legal aspect or boundary.

Discuss any FIVE such industrial actions the workers may take to raise their voice while remaining within legal boundaries.

OR

b. Mr. Ayan is an entrepreneur and runs a departmental store. He has announced the following in his yearly all-staff meeting.

'I have always believed in a decentralized decision making structure. It encourages managers of different departments to take important decisions and to use their own understanding and skills to the full. I allow my departmental mangers to take decisions on new product ranges and major market promotions to raise the sale of their specific sales area. However, they need to convey the decision to the floor manager and higher management.'

With reference to the above announcement, explain the concept of decentralization. What THREE merits will be brought by this decentralized management structure for Mr. Ayan.

END OF PAPER

Please use this page for rough work